IS8 Prosperity in the UK and Glasgow City Region

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Proposal Summary

Policy Focus:
What local conditions drive IS8 sector presence nationally, and what are Glasgow City Region's specific opportunities and barriers?

01 **IS8 Sector Collaboration**

02 **University Presence**

03 **Health Barriers**



Data & Methodology

Datasets

UK Business Counts	(2016-2025) Business counts by employment size band, IS8 sector, local authority district (LAD), and year
Business Register and Employment Survey	(2015-2024) Employee counts by IS8 sector, LAD, and year
ONS Local indicators	(2022) ~55 indicators 35 England only indicators
English indices of deprivation	(2019) ~12 poverty related indicators; ex: LADs, deprivation rank, education score, crime, health
Scottish Index of Multiple Deprivation	(2020) ~38 deprivation and poverty indicators; ex: zone code, working age population, overcrowded housing, comparative illness factor, school attendance
HESA	(2024) Higher Education and Research Funding indicators
Nomis UK Census	(2021) Labour market statistics: jobs

Methodology

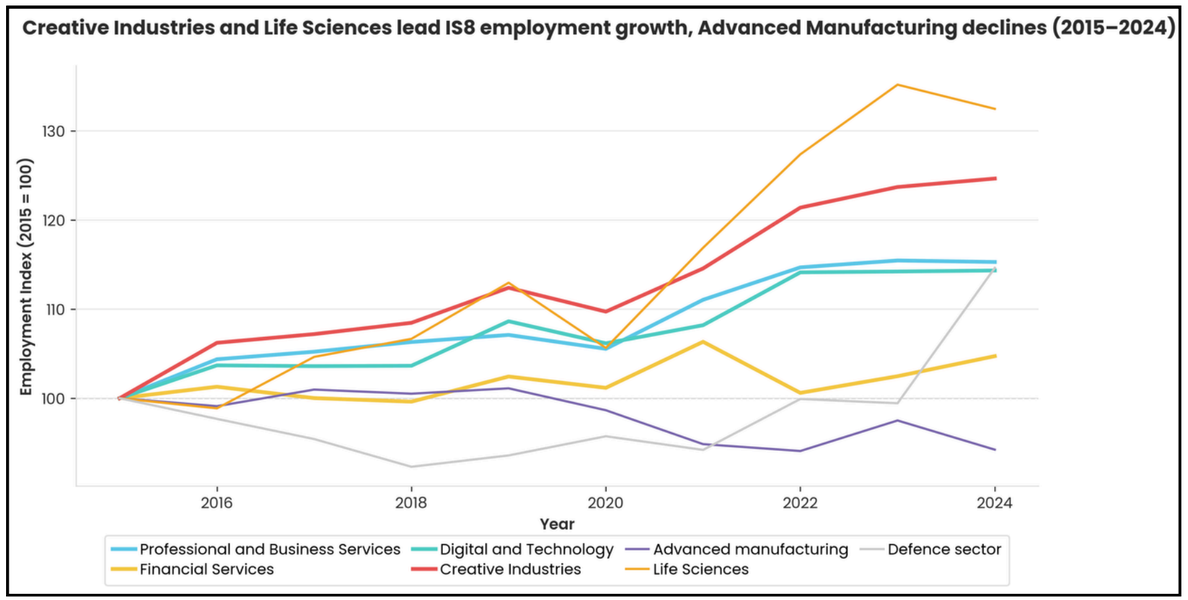
Identify business trends across IS8 sectors in the UK

Use local indicators to show the current state through descriptive analyses

Utilize predictive models to uncover characteristics that are correlated with regional IS8 presence and growth

Compile results to inform targeted policy recommendations for Glasgow City Region

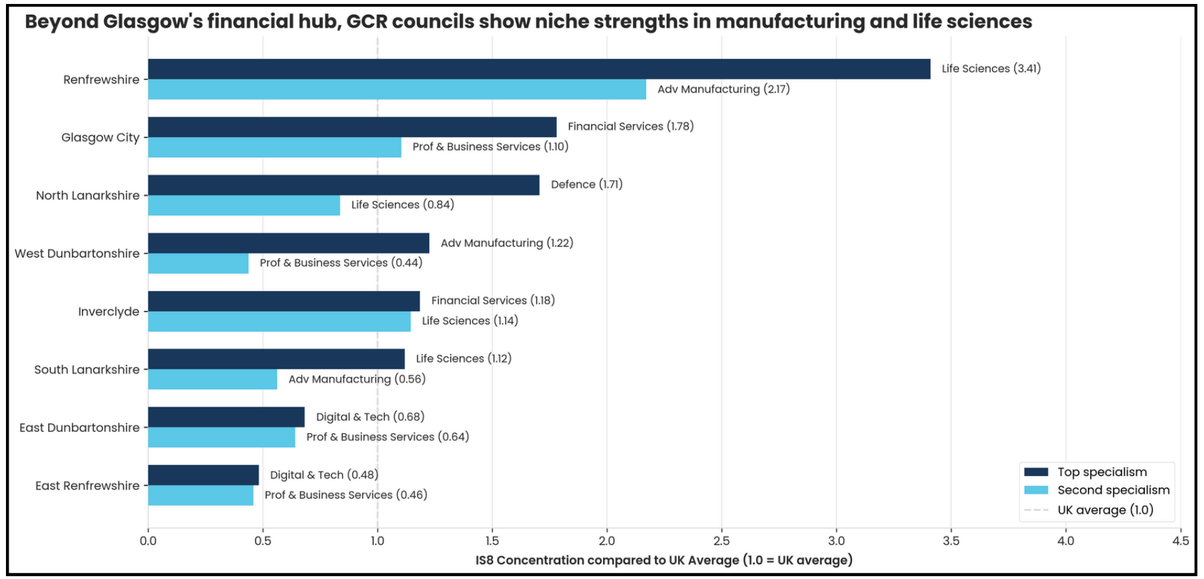
IS8 Industries



IS8 in the UK

8 sectors identified as having high potential for growth and productivity

- Advanced Manufacturing
- Clean Energy Industries
- Creative Industries
- Defence
- Digital and Technology
- Financial Services
- Life Sciences
- Professional and Business Services



IS8 in Glasgow City Region

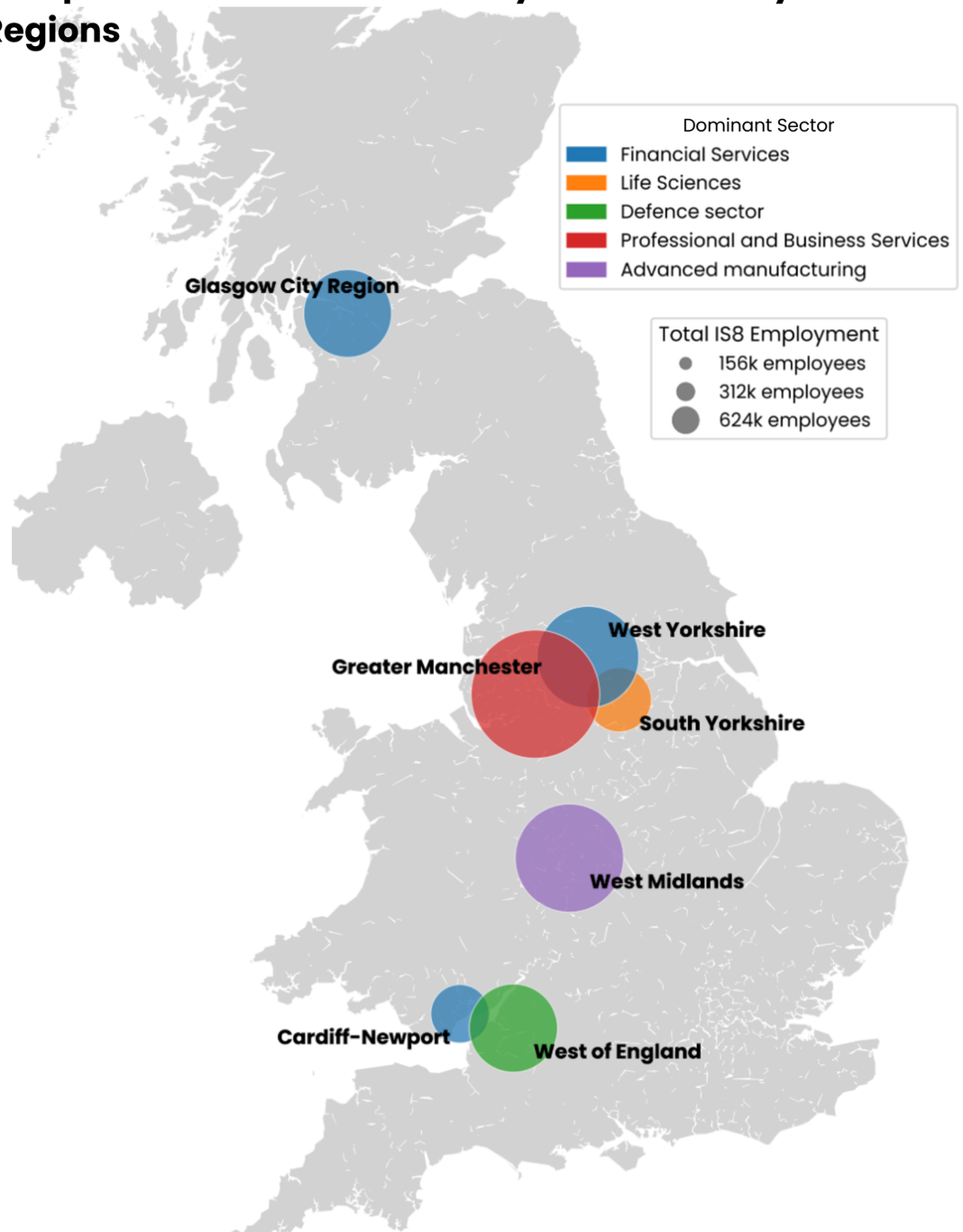
Glasgow City Region is home to various hubs and headquarters for influential businesses across IS8 sectors

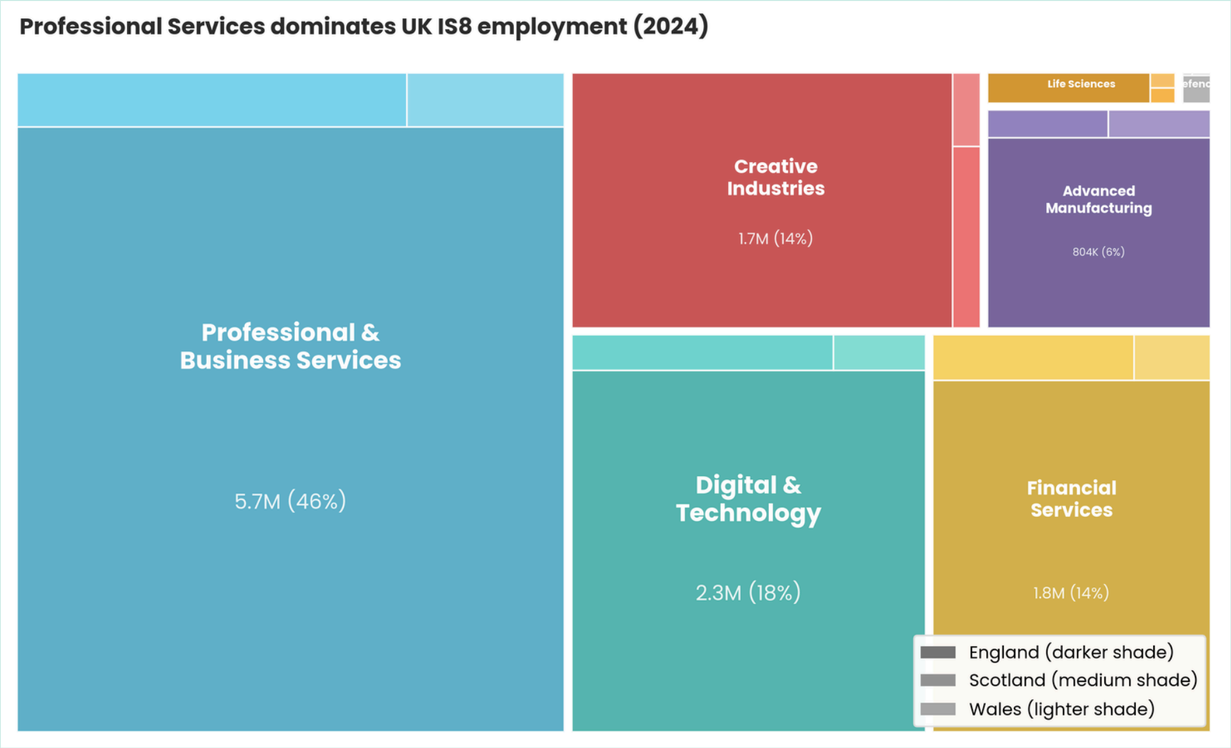
- Glasgow City accounts for 68% of IS8 jobs in GCR
- Strong university presence
- Specialisms in Banking and Insurance through strong financial and business services
- Creative hub for media and production companies in Scotland

National Findings

Where are IS8 industries concentrated?
Do certain areas specialize in certain sectors?
Which sectors dominate nationally?

IS8 Specialization Varies Widely Across UK City Regions

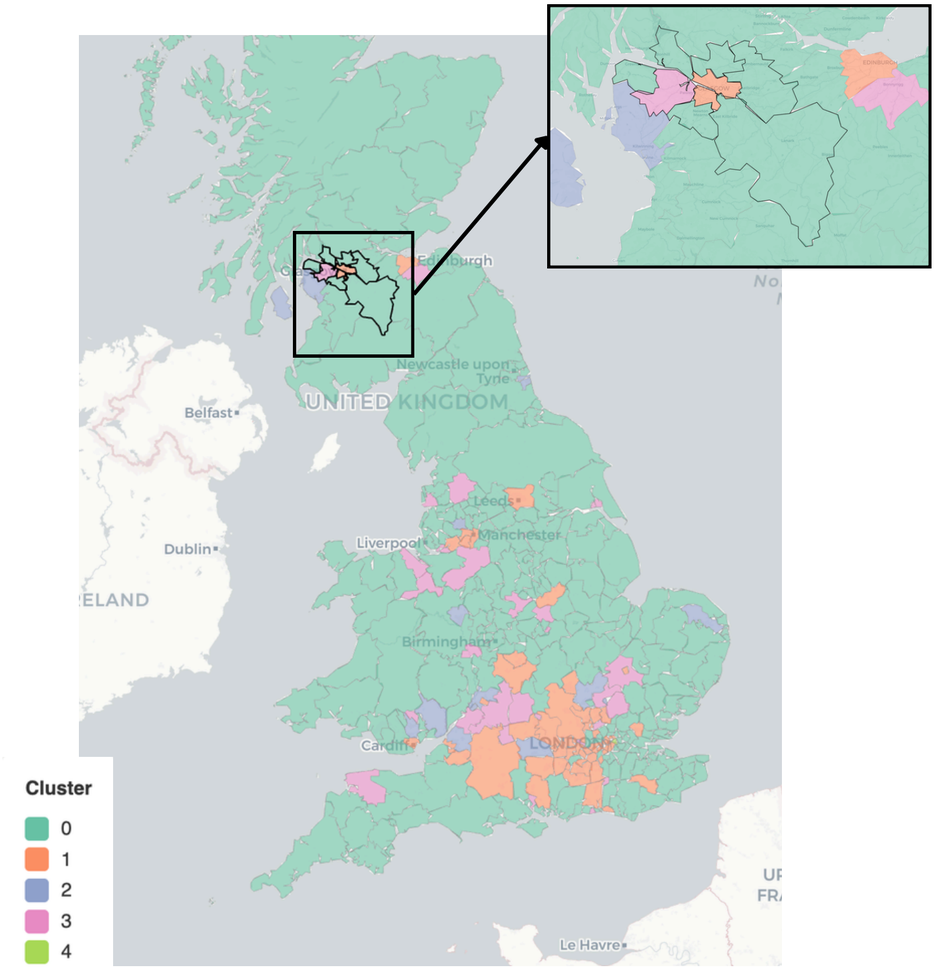




National Findings

Exploring Similarities Through Employment Concentration and Sector Correlations

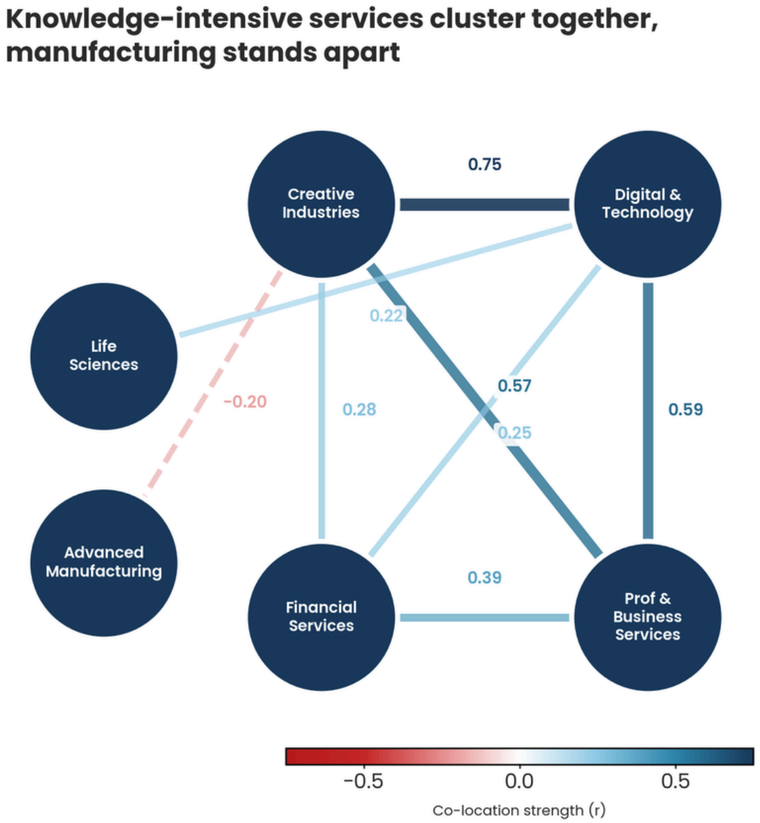
Cluster Map:



Cluster Summary Table:

Cluster	LADs	Description
0	249	Smaller towns, rural/agricultural economies
1	58	Knowledge-intense service hubs: creative, digital, and professional service industries
2	13	Defence and Manufacturing strongholds
3	28	Life Sciences and Manufacturing Specialists
4	2	Financial Services in London

Inter-Industry Connectivity:



Predicting UK IS8 Presence and Growth with Local Indicators

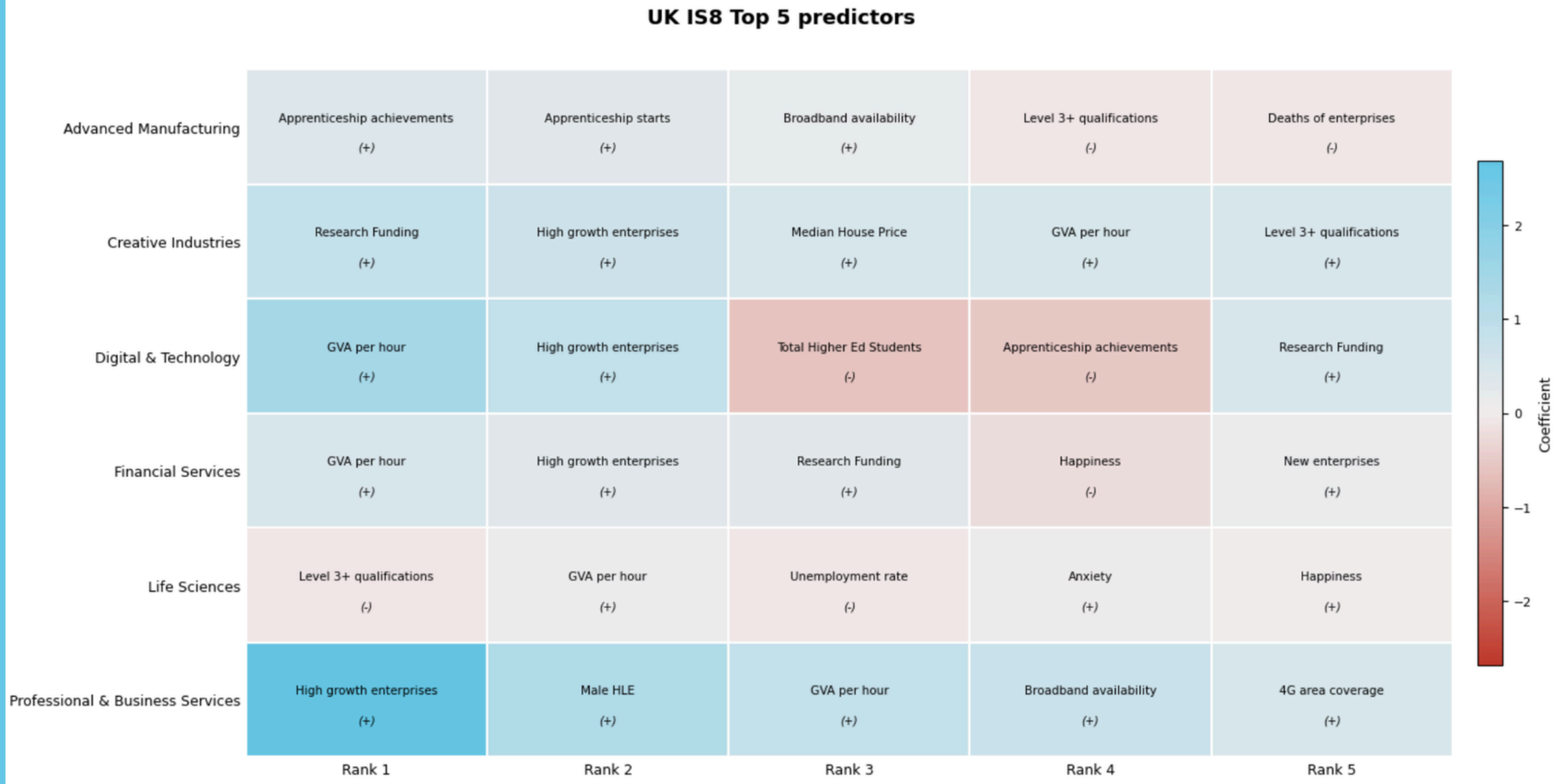
Top 3 Local Indicators:

Employment Share

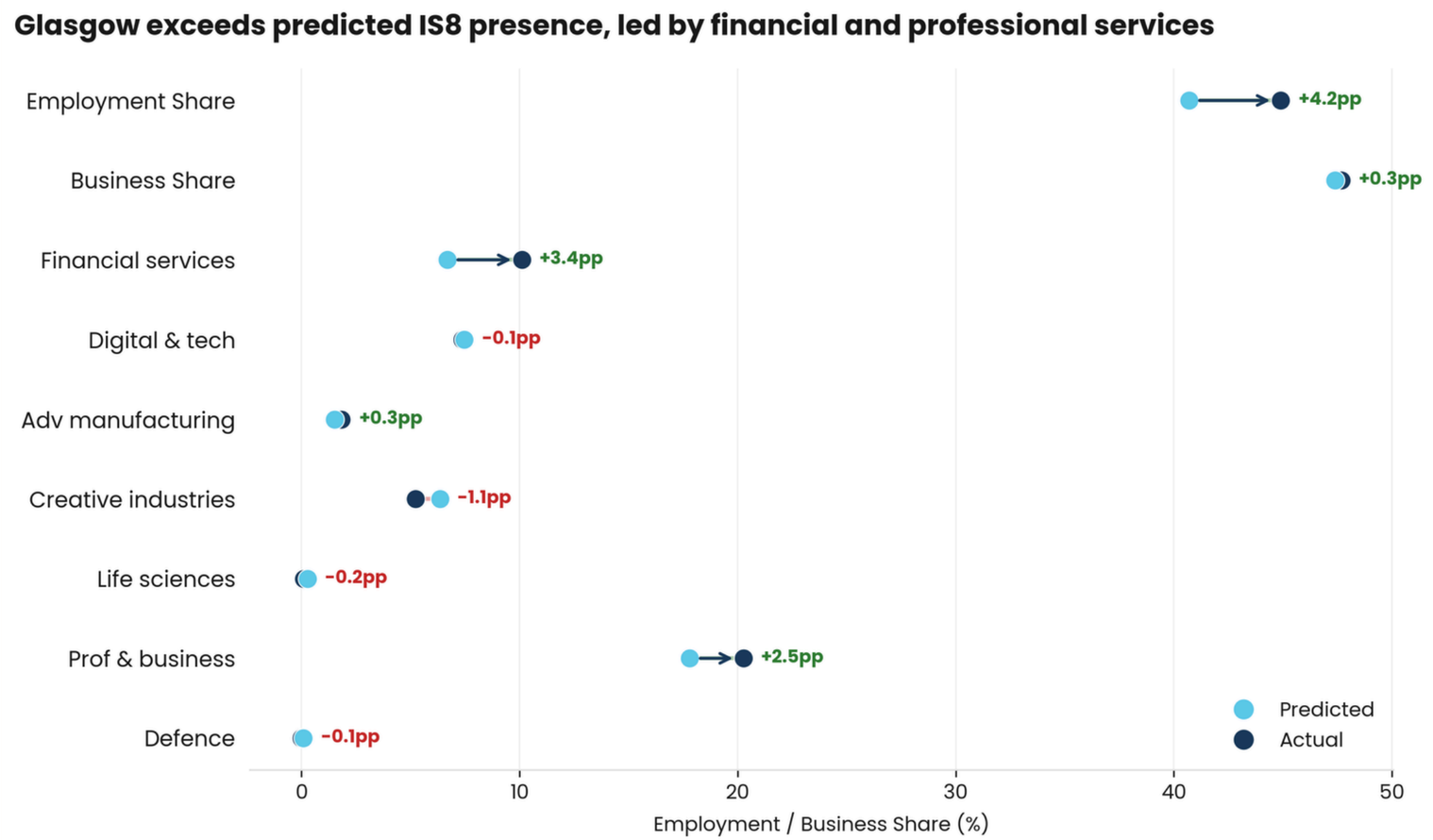
- High growth enterprises (+)
- Under 75 mortality rate (-)
- Gross Value Added (GVA) per hour (+)

Business Share

- Level 3+ qualifications (+)
- High growth enterprises (+)
- Apprenticeship achievements (-)



Glasgow's Predicted Performance



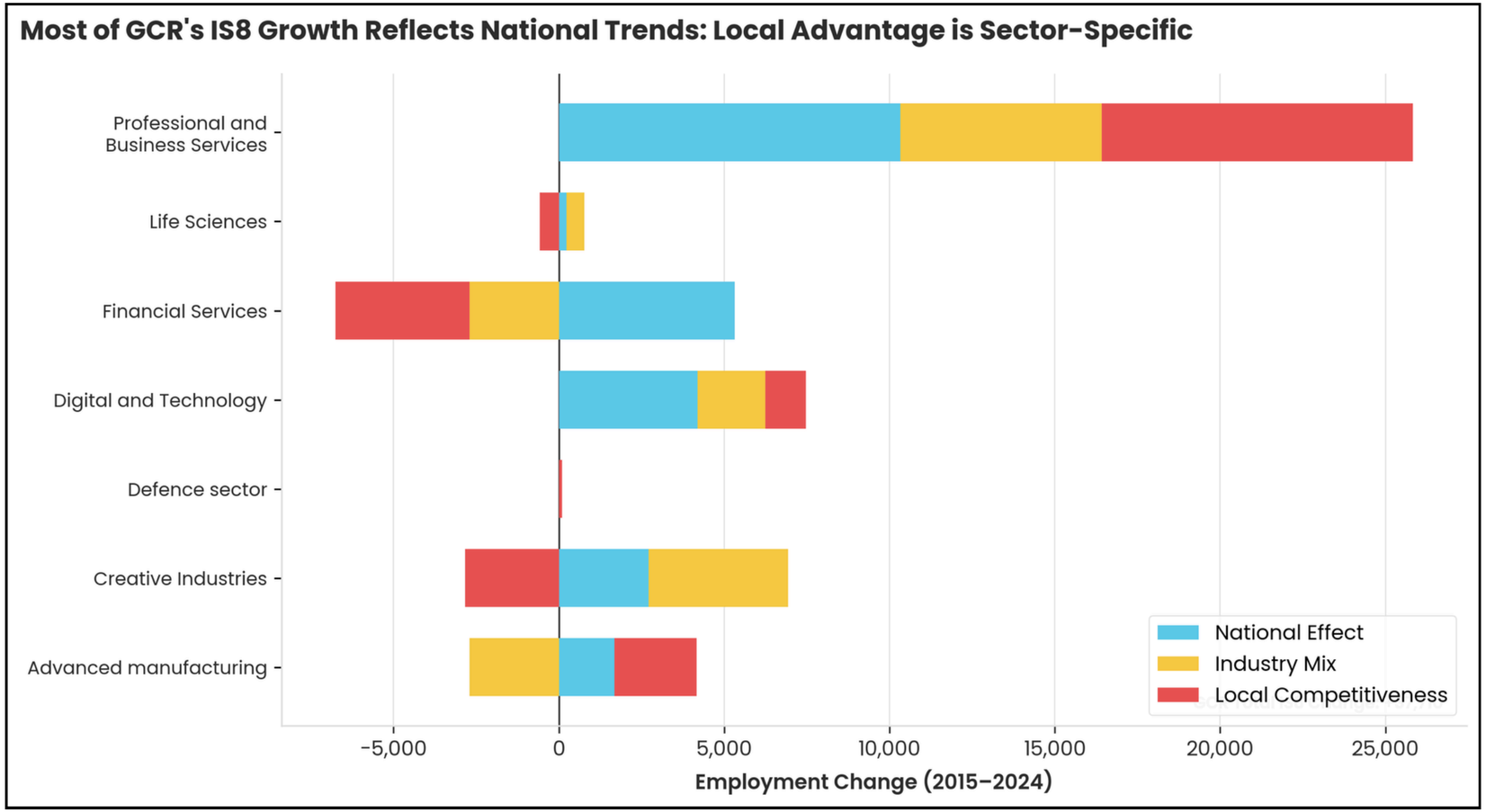
Over-performing

- Financial Services and Professional & Business Services driven by anchor institutions like International Financial Services District (IFSD), JP Morgan, and Barclays
- Total IS8 Employment Share 4.2pp above prediction
  - Suggests agglomeration and institutional effects the model can't capture

Under-performing

- Creative Industries is the largest gap, suggesting unrealised potential
- Life Sciences despite strong presence in Renfrewshire
  - Sectors where Glasgow under-performs represent opportunities for targeted intervention

Dissecting Glasgow's Growth



- Employment grew by **+37,710 jobs**
  - ~65% driven by national growth trends
  - ~20% by industry mix
  - ~15% from local competitiveness
- Professional & Business Services accounts for **68% of total growth**
  - Nearly all of the positive local competitiveness
- Financial Services declining despite positive national trends
  - Digital & Tech is a strength

Local competitive advantages are concentrated almost entirely in **Professional & Business Services**, while Financial Services and Creative Industries are **underperforming national benchmarks**. Broadening local competitiveness beyond a single sector is essential to sustaining growth.

Strengths vs Barriers

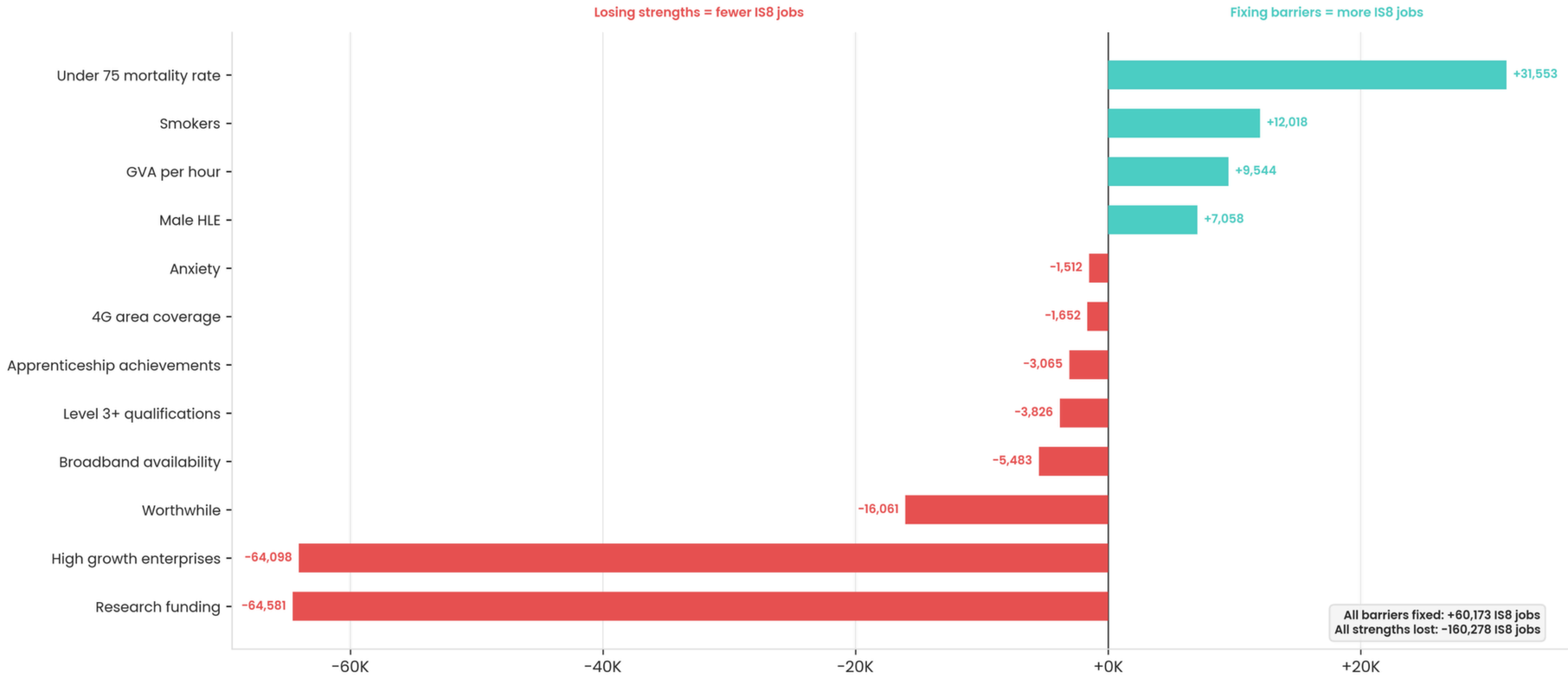
Glasgow's Strengths

- University research funding
- High-growth enterprise density
- Broadband availability
- Level 3+ qualifications

Glasgow's Barriers

- Under-75 mortality rate
- Smoking prevalence
- GVA per hour
- Healthy life expectancy

Impact on predicted IS8 jobs if Glasgow matched the UK average on each indicator



Policy Recommendations

Target IS8 Sector Collaboration

Fair Work First

1. Fintech → via Financial Regulation Innovation Lab
2. Creative–digital crossover → via Glasgow City Innovation District

Use existing innovation infrastructure and prioritize projects that use identified industrial relationships

Address Health Disparities in Glasgow

Healthcare infrastructure and research funding (Health Innovation Hub)

Utilize University Presence

THANK YOU

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